

THE EQUITY EXPRESSION OF THE CHINA EQUITIES THESIS

The Wrong Kind Of Cheap

China's ten-year government bond yield fell to about 1.68 per cent this month, the lowest since mid-July 2025. In the same fortnight America's thirty-year Treasury reached 5.336 per cent, the highest since June 2007. The world's two largest bond markets are now moving in opposite directions, and in China the falling yield is being read as a re-rating signal for shares that pay dividends.

The July economic data offer a second reading of the same number. Bank loans shrank by a record Rmb340bn. Retail sales grew 0.6 per cent. Urban fixed-asset investment fell 6.7 per cent in the year to date. Chinese equities are demonstrably cheap — the MSCI China index carried a price-earnings ratio of 12.7 in June. The question is which of the two available reasons for that cheapness is doing the work.

A reframe worth holding onto

13D Research's 6 August issue frames the falling government bond yield as a mechanical tailwind rather than a warning. Lower discount rates raise the present value of a stable dividend stream, so high-yielding shares re-rate. Growth shares cannot join in, because they are already priced beyond reach — the ChiNext board above 50 times earnings, the Star 50 above 100 times, a level at which 13D argues "further gains depend on the 'greater fool theory'."

The reframe is that the interesting Chinese equity is no longer the fast one. It is the boring one whose cash flow is being discounted at a rate that keeps falling. This is 13D's view, not a forecast, and not verified here.

Method. External figures — index levels, yields, official statistics and company results — are drawn from primary releases and dated news reporting, each attributed with an as-of date in the sources section. Internal figures and framings are drawn from the Heyokha research Wiki's China Equities theme page (created 23 June 2026, last reviewed 21 August 2026, 12,409 words) and are attributed to the named research provider that supplied them. Internal views are opinions held by those providers, labelled as views. Where internal and external evidence conflict, the conflict is stated and left unresolved.

Consider a landlord who owns a shop on the high street of a shrinking town. The building yields 4.5 per cent on its purchase price. This year the local bank cut its deposit rate below 2 per cent, so on paper the shop became more valuable: a buyer choosing between 2 per cent in the bank and 4.5 per cent from the rent should now pay more for the rent. That is a real arithmetic gain, and it is exactly the arithmetic the bull case on Chinese dividend shares rests upon. But the reason the bank cut its rate is that the factory closed and nobody in town is borrowing to expand. The same emptiness that made the deposit rate fall is emptying the shops the landlord depends on for rent. Whether buying the building is clever depends entirely on which force moves faster — the discount rate, which is falling now and visibly, or the rent roll, which erodes slowly and is easy to ignore. Nothing in the yield gap itself tells the landlord which one wins.

THE STORY IN 60 SECONDS

1.68%

China's ten-year government bond yield, its lowest in more than a year, after a central bank liquidity injection and a run of weak data. *Trading Economics, mid-August 2026.*

–Rmb340bn

Net contraction in new yuan bank loans in July — the largest monthly decline on record, and the second contraction of 2026. Households repaid about Rmb460bn. *Reuters, Caixin, 14–15 August 2026.*

4,492

The CSI 300 index, its lowest level since April 2026, down 9.25 per cent over four weeks though still up 10.4 per cent over twelve months. *Trading Economics, c. 20 August 2026.*

What actually happened

A government bond yield is a price, and like any price it can fall for flattering or unflattering reasons. It falls when buyers compete for a fixed supply of bonds — the flattering case, because it means abundant savings and a credible currency. It also falls when lenders conclude that nominal growth will be weak for a long time, because a bond is a claim on future money and weak growth means less of it. Both forces have been present in China this month, which is why the same 1.68 per cent supports two incompatible stories.

The flattering reading has real support. The People's Bank of China injected liquidity in mid-August, and it remains the one major central bank still expanding rather than shrinking its balance sheet — a point 13D has made the foundation of its China case since 2022. China's external position is strong to the point of embarrassment: July exports rose 23.9 per cent year on year, and the three-month average trade surplus set a record. A country running that surplus does not struggle to fund itself, and its bonds are scarce relative to the savings chasing them. Chris Wood of Greed & Fear, writing on 20 August, holds a 20 per cent allocation to Chinese government bonds and calls them "far superior to G7 government bonds" — a judgement that looks defensible against a US long bond that has lost 39 per cent since March 2020.

The unflattering reading has support that is harder to argue with, because it comes from the credit system itself. Bank lending contracted by a record amount in July, with loan growth at 5.1 per cent, the slowest on record. Household loans have fallen by Rmb827bn across January to July — the first seven-month decline in at least two decades. When households repay debt faster than they take it on, they are not being cautious about one month's spending; they are revising their view of the future. Retail sales growth of 0.6 per cent, against an expected 1.5 per cent, is what that revision looks like at the till. Wood's own conclusion in the same 20 August note is blunt: deflation "is not confirmed by the bond market."

So the argument is not really about whether China is cheap. Both camps agree it is. The argument is about what a falling discount rate is worth when it is falling for the second reason rather than the first — and neither the price of the bond nor the price of the equity can settle that question, because both are consistent with either story.

THE ESSENTIAL DISTINCTION

To the buyer of a dividend, a falling government bond yield is a discount rate: it makes a fixed stream of cash worth more today. To the seller of that dividend, the same yield is a growth forecast: it says the economy that generates the cash is slowing. *One number, read forwards by the purchaser and backwards by the producer. The trade only works if the discount rate falls faster than the cash flow does.*

The mechanism, one saver at a time

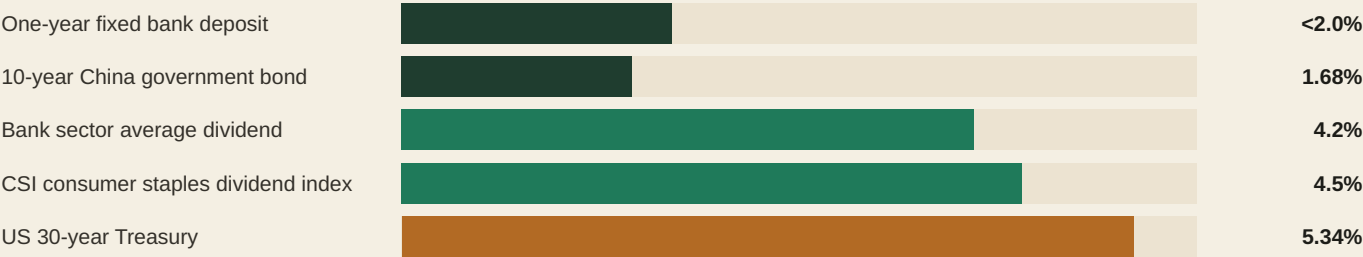


Deposit and sector dividend-yield levels: Standard Chartered wealth research and Chinese banking-sector reporting, 2026. Southbound flow figure: Hong Kong Stock Connect data as reported, 2026. Ten-year CGB yield: Trading Economics, mid-August 2026. China Mobile figures: company interim results and dividend announcement, August 2026. Step 4 is the analytical claim of this edition, not a claim made by any single source.



Sources as above. The three figures are drawn from different dates within August 2026 and are not a like-for-like time series.

The yield ladder a Chinese saver faces



Bars are illustrative and scaled to the largest value shown; they are not drawn to a common as-of date. Deposit rate and bank-sector dividend yield from 2026 Chinese banking-sector reporting. CGB yield: Trading Economics, mid-August 2026. Consumer staples dividend index yield of 4.5 per cent in late June is 13D Research's figure, reported 6 August 2026, and is not independently verified. US 30-year: 5.336 per cent cash yield on 18 August 2026. The final bar is in a different currency and is shown for contrast, not as an alternative available to an onshore Chinese saver.

A USEFUL MENTAL MODEL

A dividend paid out of a rising payout ratio and a dividend paid out of rising profit look identical in the yield column of a screen. They are not the same instrument. The first is a company distributing its past; the second is a company distributing its present. *Only one of them can do it twice.*

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The two long ends split	China's ten-year fell from 1.90% in early January to about 1.68% in mid-August; the US thirty-year hit 5.336% on 18 August, highest since June 2007.	It makes Chinese bonds the better trade of the two and Chinese dividends mathematically more valuable — while saying the Chinese economy expects less nominal growth than the American one.
Credit began contracting	July new loans –Rmb340bn, a record; loan growth 5.1%, the slowest recorded; household loans –Rmb827bn across January–July.	Weak credit demand forces policy to stay loose, which sustains the discount-rate tailwind. It also removes the mechanism by which loose policy would normally reach the real economy.
Reflation arrived, then receded	Nominal GDP grew 5.9% against real 4.3% in the second quarter, exceeding real growth for the first time in thirteen quarters. July CPI and PPI both slowed from June.	The inflection is genuine and, if sustained, is the single most bullish fact available. One quarter is not a trend, and the July prints went the other way.
The internal and external economies diverged	July exports rose 23.9% and the three-month trade surplus set a record, while retail sales grew 0.6% and urban investment fell 6.7% year to date.	Export strength funds the state and validates the industrial-upgrading thesis. It also invites the protectionism that would eventually close the one channel still working.
The market stopped agreeing	The CSI 300 fell 9.25% over four weeks to 4,492, its lowest since April, having risen 10.4% over twelve months. Hong Kong held up better, the Hang Seng closing at 26,009 on 21 August.	A four-week fall in a cheap market is either the entry point the contrarian case requires or the beginning of the de-rating the bear case predicts. The price alone cannot distinguish them.

Bull and bear, stated fairly

The bull case

- **The discount rate is falling and it is measurable.** A ten-year government bond at 1.68 per cent against dividend yields of 4.2 to 4.5 per cent is a gap wide enough to move domestic savings without requiring any improvement in earnings. 13D Research, 6 August.
- **Nominal growth has inflected.** Second-quarter nominal GDP of 5.9 per cent exceeded real growth of 4.3 per cent for the first time in thirteen quarters, with June producer prices at their highest since July 2022 and industrial profits up 20.6 per cent in the three months to May. Greed & Fear, 16 July.
- **Valuation is not a matter of opinion.** The MSCI China index carried a price-earnings ratio of 12.7 in June, roughly half its 2020 level. Marc Faber, writing on 1 August, calls the Chinese technology leaders "felony cheap" and leans towards Asian equities outperforming the US over ten to twenty years.
- **The saver has nowhere else to go.** Deposit rates below 2 per cent and a record US\$177bn of southbound flow into Hong Kong describe a captive pool of capital, not a discretionary one. Capital controls mean this money cannot simply buy the US thirty-year instead.
- **Policy has a target it has stated out loud.** Beijing's mandate for state-owned enterprises to improve returns on equity is a multi-year structural reform; 13D notes that state enterprise profits grew more than 70 per cent over five years while market capitalisations grew in single digits, a divergence Beijing has explicitly said it wants closed.

The bear case

- **The policy choice is deliberate, not accidental.** Russell Napier's 30 June note argues Beijing has decided that "reflation must play second fiddle to the creation of the siege economy," and that investors should therefore not hold Chinese equities at all. On this reading the bearishness is rational and durable rather than an overshoot to be bought.
- **The credit data are getting worse, not troughing.** Debt to GDP passed 300 per cent in the fourth quarter of 2025, loan growth is at a record low, and household borrowing has now contracted for seven consecutive months. A contrarian case requires conditions to be bad; it does not survive conditions that are deteriorating.
- **The dividend may be funded by arithmetic rather than earnings.** China Mobile's first-half profit fell 6.3 per cent while its interim dividend rose 5.5 per cent in Hong Kong dollars, on a payout ratio near 73 per cent. A payout ratio can rise only so far.
- **The growth half of the market is priced beyond rescue.** By 13D's own account the ChiNext board trades above 50 times earnings and the Star 50 above 100 times, with the top five stocks accounting for 54.2 per cent of A-share turnover on 9 July — a concentration last seen in February 2021. Both boards entered technical bear markets in July.
- **Ownership itself carries a tail risk.** Napier raises the possibility that foreign ownership of Chinese assets could be undermined "in the same way that occurred in Russia in 2022" — a risk that cannot be hedged and does not appear in any valuation multiple.

Where the internal and external views come apart

The clearest conflict is one of tone against tape. On 16 August, 13D Research reaffirmed its standing conclusion that China's stock market "could be among the best-performing equity markets in the world," holding its allocation unchanged at 9.7 per cent — while noting in the same breath that Chinese indices were that week's largest detractors from its own portfolio. External market data over the following days show the CSI 300 falling to 4,492, its lowest since April 2026, down 9.25 per cent in four weeks. Both statements are accurate. They are not easily held together, and this edition does not resolve them: a market can be the best long-run opportunity available and still be in the middle of a de-rating, but an investor cannot act on both readings at once.

A second conflict sits entirely inside the internal record, and is sharper for it. On 6 August 13D warned that Chinese growth shares were so expensive that further gains depended on the "greater fool theory," singling out the Star 50 above 100 times earnings. On 20 August Greed & Fear added ChangXin Memory to its China portfolio at a 4 per cent weight — a Star Market listing that closed its first day on 27 July up 465.8 per cent on its offer price, having raised Rmb57.92bn in the largest initial offering in the market's history. One provider's definition of speculative excess is the other's new position. The Wiki page's own "Contradictions" section reads "None yet," which is itself informative.

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
CNOOC interim results, 26 August	The board meets to approve first-half results and consider an interim dividend.	The first direct test of whether the dividend rotation is funded by cash generation or by a rising payout ratio, in a company whose cash flow depends on an oil price distorted by the Hormuz closure.
China Shenhua interim results, 28 August	Board meeting in Beijing for first-half results and an interim dividend recommendation.	The purest domestic dividend payer among the state-owned energy names, and therefore the cleanest read on whether payout policy is tightening or loosening as profits come under pressure.
Monthly new yuan loans	Whether August lending returns to growth after July's record Rmb340bn contraction.	A second consecutive contraction would make household deleveraging the base case rather than an anomaly, which is the single fact most damaging to the reflation thesis.
The ten-year CGB yield	Whether 1.68 per cent marks a floor or continues lower.	Falling further strengthens the discount-rate argument and weakens the growth argument simultaneously. The direction is not the interesting part; the reason will be.
Producer prices	Whether the July slowdown from June reverses.	Producer price inflation is the transmission channel from nominal growth to industrial profits, and the mechanism by which the second-quarter nominal GDP inflection would become durable rather than a single quarter.
The A-share turnover concentration	Whether the top five stocks continue to account for more than half of daily turnover.	Concentration at these levels has historically marked the late stage of a narrow advance rather than the early stage of a broad one, and the comparable reading was February 2021.

EXPRESSIONS

Three postures, not one answer

Own the discount rate

Hold the state-owned dividend payers and accept that the return comes from a falling discount rate rather than growing earnings.

The cost: the position is short nominal growth in all but name, and a genuine reflation would see these names lag badly while the cyclical move.

Own the upgrade

Hold the semiconductor and equipment names that are the stated priority of policy, where profits are visibly growing. **The cost:** paying growth multiples in the one part of the market both internal providers agree is expensive, on boards that entered technical bear markets in July.

Own the bond, not the equity

Take the view expressed in the falling yield directly, as Greed & Fear does with a 20 per cent sovereign allocation, and decline the equity risk entirely. **The cost:** if the reflation inflection proves real, this is the one posture that captures none of it.

The companies named in this edition are illustrative of the mechanisms described. They are NOT recommendations, and no view is expressed on their suitability for any portfolio. Figures are as of the dates stated and were accurate to the sources cited at the time of writing.

941 HK

China Mobile

Dividend +5.5%
1H26 results, Aug 2026

The clearest illustration of the tension. First-half profit attributable to shareholders fell 6.3 per cent to Rmb78.93bn, with earnings per share of Rmb3.64. The interim dividend nonetheless rose to Rmb2.51 per share, up 5.5 per cent in Hong Kong dollar terms, on a trailing payout ratio near 73 per cent. For a saver comparing this to a sub-2 per cent deposit, the dividend is the whole case. For an analyst, the direction of the two numbers is the whole question.

WATCH NEXT

The Hong Kong register closes 27–31 August; payment is due on or about 30 September.

883 HK

CNOOC

Board meets 26 Aug
1H26 results pending

The board meets on 26 August to approve results for the six months to 30 June and to consider an interim dividend. The company was one of the state-owned names 13D's deep-value portfolio held through the 2023 advance, and its cash generation is currently flattered by an oil market disrupted by the closure of the Strait of Hormuz — a tailwind that is real, dated and not obviously repeatable.

WATCH NEXT

Whether the interim dividend is funded from operating cash flow or from a higher payout on lower profit.

688825 CH

ChangXin Memory Technologies

+465.8% on debut
Listed 27 July 2026

China's largest and the world's fourth-largest maker of DRAM memory, with 7.7 per cent of the global market. It listed on Shanghai's Star Market on 27 July at Rmb8.66 and closed the first day at Rmb49, up 465.8 per cent, having raised Rmb57.92bn — the largest offering in the market's history — and briefly becoming the most valuable A-share listed company. Greed & Fear added it at a 4 per cent weight on 20 August, in the same week that 13D described Star Market valuations as greater-fool territory.

WATCH NEXT

Whether memory pricing holds up well enough to make the debut valuation an entry point rather than a peak.

688012 CH

Advanced Micro-Fabrication Equipment

1H26 profit +282–311%
Reported August 2026

The plasma-etch toolmaker guided first-half attributable net profit to Rmb2.7–2.9bn, growth of 282 to 311 per cent, and announced a Rmb3.5bn capacity expansion. The composition matters more than the headline: roughly two-thirds of the reported gain came from revaluing equity investments rather than from selling equipment, and the figure stripped of one-off items was Rmb1.0–1.2bn — close to a doubling, which is a strong result stated honestly rather than a tripling.

WATCH NEXT

Whether the core, ex-revaluation profit line keeps compounding as customer qualification broadens.

2259 HK

Zijin Gold International

HK\$131.40
as at 6 Aug 2026

Added to the Greed & Fear China and Asia ex-Japan portfolios at a 4 per cent weight on 20 August — hard assets arriving inside a China equity book. The shares traded at HK\$131.40 on 6 August against a fifty-two-week range of HK\$84.20 to HK\$268.00, so the position is being taken after a drawdown of more than half from the high. The dividend yield of about 1.14 per cent makes clear this is a gold position, not an income one.

WATCH NEXT

Whether a China-listed gold miner trades on the gold price or on the China discount when the two diverge.

9618 HK

JD.com

Q2 revenue –2.9%
Reported 13 Aug 2026

The instructive exit. Second-quarter net revenues fell 2.9 per cent to Rmb346.4bn, but operating income swung to Rmb4.5bn from a Rmb0.9bn loss, taking the operating margin to 1.3 per cent from minus 0.2 per cent, with JD Retail at 4.6 per cent. Seven days after that margin inflection, Greed & Fear removed the stock — a decision made on the domestic-demand outlook rather than on the reported numbers, which had just improved.

WATCH NEXT

Whether margin recovery can continue with retail sales growing 0.6 per cent and households repaying debt.

The bottom line

What was repriced this month was not Chinese growth. It was the discount rate applied to Chinese cash flows — downward, decisively, and for reasons that are not flattering. A ten-year government bond at 1.68 per cent against bank deposits below 2 per cent has pushed domestic savings towards anything with a yield attached, and the shares that pay 4 per cent have absorbed that flow. That is a real and measurable force, and it is the substance of the internal bull case.

The evidence is genuinely mixed, and it would be dishonest to present it otherwise. Nominal growth exceeded real growth in the second quarter for the first time in over three years, which is the strongest fact the bulls have. Bank lending then contracted by a record amount, households continued to repay, and the A-share index fell to its lowest level since April, which is the strongest fact the bears have. The reasonable inference is narrower than either camp's conclusion: the discount-rate trade is working, the earnings trade is not yet, and an investor who owns the first while describing it as the second has misunderstood what they hold. The next test is specific and close — the CNOOC board on 26 August and the China Shenhua board on 28 August, where two large state-owned payers will show whether the dividends underwriting this rotation come out of cash generated or out of a payout ratio that has further to climb.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. The companies named are illustrative of the mechanisms discussed and were selected because they appear in the internal research record or because they demonstrate a specific point; their inclusion implies no view on their merits. External figures are attributed with an as-of date and were taken from the cited sources at the time of writing; markets move and these figures will age. Internal figures and framings are the opinions of the named research providers, are labelled as views rather than forecasts, and have not been independently verified except where an external source is separately cited. Where internal and external evidence conflict, the conflict has been stated and deliberately left unresolved rather than reconciled by editorial preference. No performance is implied or promised.

Sources and update notes

Internal. Heyokha research Wiki, **China Equities** theme page (slug *china-equities*, type theme, status active, 12,409 words; created 23 June 2026, last reviewed 21 August 2026). Sections read: Thesis; Mechanism — why it holds; Contradictions; "August 2026: the dividend rotation — falling CGB yields meet expensive growth"; "August 20, 2026: Wood's portfolio rotation — JD out, CXMT and Zijin Gold in"; "July 2026: Nominal GDP inflects positive — first time in 13 quarters"; "June 2026: Napier's explicit 'avoid' — the bear case sharpens"; "August 2026: Faber's anti-bubble valuation call". Provider issues relied upon: **Greed & Fear** (Chris Wood, CLSA) — "40 trillion and counting", 20 August 2026, and the issue of 16 July 2026; **13D Research** — WILTW of 6 August 2026 and WATMTU of 9 and 16 August 2026; **The Solid Ground** (Russell Napier) — "Of Exuberance, Rational and Irrational", 30 June 2026; **Dr Marc Faber** — monthly commentary and Gloom, Boom & Doom Report, both 1 August 2026; **The HS Dent Forecast** (Harry Dent) — demographic bear case, July 2026, referenced but not quoted.

Limitation on the internal view. The provider concentration on this page is severe and should temper how much weight the internal argument carries. Of roughly eighty-five source summaries feeding the China Equities page, the substantial majority are 13D Research issues, and 13D has held a consistently bullish stance on Chinese equities across the entire compilation window since October 2022. The page's own "Contradictions" section states "None yet — 13D is the primary source across the compilation window and is consistently bullish on China equities." A page whose evidence base is largely one provider, and whose provider has held one direction for four years, cannot be read as a balanced survey of opinion. The countervailing views used in this edition — Napier's explicit avoid, Dent's demographic case — enter through single issues each, and were deliberately given equal space here rather than the space their frequency in the record would imply. Much of the page's foundational thesis material also dates from 2022 and 2023 despite the review date of today, so the core argument is considerably older than the timestamp suggests.

External sources. (1) China July activity data — retail sales +0.6% year on year against 1.5% expected and 1.0% in June; urban fixed-asset investment −6.7% year to date; unemployment higher: CNBC and Invezz, 17 August 2026. (2) China July credit — new yuan loans −Rmb340bn, largest decline on record and second contraction of 2026; household loans −c.Rmb460bn, corporate −c.Rmb130bn: Reuters and Caixin Global, 14–15 August 2026. (3) Ten-year Chinese government bond yield about 1.68%, lowest since mid-July 2025, following a PBOC liquidity injection and weak data: Trading Economics, mid-August 2026. (4) CSI 300 at 4,492 index points, lowest since April 2026, −9.25% over four weeks and +10.42% over twelve months: Trading Economics, c. 20 August 2026. (5) Hang Seng Index closed 26,009.46, +1.21%, on 21 August 2026. (6) MSCI China index price-earnings ratio 12.73 in June 2026: MacroMicro and CEIC. (7) Onshore fixed deposit rates below 2%; Chinese banking-sector average dividend yield about 4.2% with at least six banks above 5%; Big Six state lenders paid more than Rmb420bn of dividends in 2025; record US\$177bn of southbound flow into Hong Kong equities: Standard Chartered wealth research and

Chinese banking-sector reporting, 2026. (8) China Mobile first-half 2026 — net profit Rmb78.93bn, -6.3% year on year, earnings per share Rmb3.64; interim dividend Rmb2.51 per share (HK\$2.9003), +5.5% in Hong Kong dollar terms; trailing payout ratio about 73%; Hong Kong register closed 27–31 August, payment on or about 30 September: company announcements, August 2026. (9) JD.com second quarter 2026 — net revenues Rmb346.4bn (US\$51.1bn), -2.9%; income from operations Rmb4.5bn against a Rmb0.9bn loss; operating margin 1.3% against -0.2%; non-GAAP 1.6% against 0.3%; JD Retail margin 4.6% against 4.5%: company results release, 13 August 2026. (10) ChangXin Memory Technologies — listed on the Shanghai Star Market 27 July 2026 under 688825; offer price Rmb8.66; first-day close Rmb49, +465.82%; raised Rmb57.92bn, the largest offering in Asia and in Star Market history; briefly the most valuable A-share company; 7.7% of the global DRAM market, fourth-largest producer worldwide: CNBC, 27 July 2026, and related reporting. (11) Advanced Micro-Fabrication Equipment — first-half 2026 attributable net profit guided to Rmb2.7–2.9bn, +282% to +311%, of which roughly two-thirds from equity-investment revaluation; profit excluding non-recurring items Rmb1.0–1.2bn; Rmb3.5bn (US\$520m) capacity expansion announced: DigiTimes, 20 August 2026, and Tech Times, 3 August 2026. (12) Zijin Gold International — HK\$131.40 on 6 August 2026, fifty-two-week range HK\$84.20–268.00, market capitalisation HK\$351.67bn, dividend yield about 1.14%: Investing.com and Google Finance, 6 August 2026. (13) CNOOC board meeting 26 August 2026 and China Shenhua board meeting 28 August 2026, each to approve first-half results and consider an interim dividend: company announcements via TipRanks, August 2026. (14) US thirty-year Treasury cash yield 5.336% on 18 August 2026, highest since June 2007, and the US Treasury's announcement on 19 August 2026 that long-end liquidity-support buybacks would at least double from US\$2bn to US\$4bn per operation between 9 September and 4 November: US Department of the Treasury press release and CNBC, 19 August 2026.

Editorial choices in this automated run. Topic selection followed the standard procedure with one deliberate departure. Twenty source summaries published since 31 July were scored, and the highest-scoring entities were gold, AI capex, gold miners and copper. All four failed the thirty-day cooldown: AI capex ran on 4 August, gold miners on 5 August, copper on 18 and 19 August, and fiscal dominance — effectively the same argument as the long-end repricing that dominates the newest sources — ran yesterday, 20 August. Gold was the top-scoring theme that passed a literal cooldown check, but it was excluded as a near-duplicate of Gold Miners from sixteen days ago, on the reasoning that a cooldown on exact titles is not the point of a cooldown. China Equities was therefore selected as the highest-scoring theme that is genuinely distinct from the last thirty days of editions, and no China edition appears anywhere in the archive. The archive itself was read in full: twenty-one dated editions, all inside the thirty-day window, yielding a cooldown set of fourteen topics. Two filename conventions are present — nine files from 24 July to 3 August use "YYYY-MM-DD - Topic" while everything from 5 August uses the specified "YYYYMMDD Topic" — and both were parsed; a stricter parser following the naming rule literally would have missed the older nine and under-counted the cooldown set. On tooling: the Heyokha Wiki server and the folder containing the archive were both unavailable at the start of this run and were reconnected before the research was carried out, so no step was degraded, though the run was not fully unattended as designed. The Fiscal.ai data service was available but restricted to one hundred large-capitalisation US and European companies on the current plan, with no Chinese coverage, so every company figure in this edition comes from primary releases and dated news reporting instead. The bear case was built primarily from external reporting and from tensions inside the companies' own results, because the internal record is heavily weighted towards one bullish provider, as set out above.

Prepared 21 August 2026 · Heyokha Brothers Market Field Guide · Commentary, not investment advice.